The New York Times

Marijuana Legalization Hits a Wall: First in New Jersey, Then in New York

In March, both states seemed days away from a landmark legalization deal. Now inertia is feeding doubts that it can happen this year.

By Vivian Wang and Nick Corasaniti

May 13, 2019

A push to legalize recreational marijuana in New York and New Jersey this year appears all but dead in both states, a dramatic fall for an effort that just over a month ago seemed inevitable.

For months, the two states were locked in a race to legalize, vying for millions in tax revenue and progressive bragging rights. But at the end of March, the campaign in New Jersey abruptly collapsed, hours before a vote was supposed to take place.

New Jersey's failure had a coattail effect in New York: It emboldened opponents and eased pressure on some of legalization's most important allies, including Gov. Andrew M. Cuomo, who had declared legalization a priority for the first 100 days of the session.

But as that deadline approached, Mr. Cuomo declared that negotiations were too complicated; within days of New Jersey's failure, the effort in New York, too, was shelved.

In the weeks since, the inertia in each state has continued to fuel more of the same in the other, with even staunch proponents of legalization seemingly resigned to waiting until next year.

Democratic leadership in New Jersey, including Gov. Philip D. Murphy, has remained focused on an upcoming budget battle and an investigation into tax credits. Legislators in New York, who had emphasized the importance of pre-empting New Jersey, have not discussed marijuana in private conferences since March.

"New Jersey took the wind out of the sails in New York," said Jeremy Unruh, the director of public and regulatory affairs at PharmaCann, a medical marijuana company in New York that had lobbied for recreational use. "I do think that was an inflection point."

Kassandra Frederique, the New York State director at the Drug Policy Alliance, a pro-legalization group, said the slowdown was tangible.

Gov. Philip D. Murphy of New Jersey has pledged to expand medical marijuana by more than 700 percent, a tacit acknowledgment that full legalization may still be far off.
Mark Makela for The New York Times

"People are talking about it less," she said. "There is no sense of urgency."

There is still a chance that legalization could break through, with six weeks left in New York's legislative session and a self-imposed deadline of May 31 in New Jersey.

Two influential lawmakers in New York plan to introduce a new bill this week tailored to win Mr. Cuomo's backing, and activists are organizing a last-minute push. And in New Jersey, the proposal's sponsors have discussed changing the current bill, including removing an expungement provision that would have cleared convictions for people who were caught in possession of up to five pounds of marijuana.

But the same challenges that doomed the previous effort remain.

A well-coordinated coalition of opponents, including law enforcement officials and parent-teacher associations, has warned skittish lawmakers of public safety consequences. The pro-legalization movement has also been divided by a debate over how to guarantee economic reinvestment in minority communities.

In New York, four counties have already declared their intention to opt out of any legalization law, including both populous counties on Long Island. More than 40 towns in New Jersey have also declared they would opt out, or have already voted to ban marijuana businesses from opening there.

There are no models for what New York and New Jersey are trying to do. Of the 10 states that have legalized recreational marijuana, only Vermont did so through legislation rather than by ballot initiative. But Vermont does not allow commercial sales, effectively confining the drug to be grown in homes.

States that have already legalized marijuana through ballot referendums have run into problems: Emergency room visits rose in Colorado, the black market continued to thrive in California and every state saw vast racial disparities in marijuana business ownership.

Lawmakers in New York and New Jersey had promised to learn from those examples. They set ambitious goals: addressing racial inequity in the industry; clearing past criminal records for minor drug offenses; and keeping taxes low enough to wipe out the black market, but high enough to generate meaningful revenue.

It proved a formidable task, and disagreement among activists, opponents and lawmakers consistently hampered progress.

Now, lawmakers in both states are preparing backup plans that involve expanding their existing medical marijuana industries. Mr. Murphy has pledged to expand it by more than 700 percent, an apparent acknowledgment of the long odds of a vote on full legalization in New Jersey. And New York legislators have drafted a bill to loosen restrictions on medical marijuana.

In New York, supporters of full legalization have blamed each other. Ms. Frederique, at a news conference in Albany on Tuesday, blamed “the Legislature and the governor who think this issue is no longer urgent.”

Senator Liz Krueger and Assemblywoman Crystal Peoples-Stokes, who have sponsored a legalization bill for several years, said Mr. Cuomo had seemed disinterested in pushing marijuana as part of the state budget, which is typically a vehicle for major policy initiatives, and which was finalized on April 1.

Indeed, during budget negotiations in March, several lawmakers in Albany received calls from the governor’s office describing potential political fallout if marijuana were to be legalized through the budget, according to one person familiar with one such conversation and one person who heard a conversation between legislators.

New York lawmakers intend to revise an existing marijuana bill designed to win over Gov. Andrew M. Cuomo, who has been criticized for not pushing hard enough for legalization. Cindy Schultz for The New York Times

"I can't explain the governor's reasons why he thought that it probably wasn't the right thing to do in the budget," Ms. Peoples-Stokes said, adding that some of her Assembly colleagues had also hesitated. The leaders of both the Senate and Assembly said earlier this year that the details might be too complex for a short timeline.

Ms. Krueger was more blunt: "The governor walked away from it in the budget."

Rallying enough votes to support a stand-alone bill now would require extensive political capital from Mr. Cuomo, Ms. Krueger said.

"He has said in a couple of press conferences he wants to get this done, but he's literally going to have to make calls urging people to want to support the bill," Ms. Krueger said.

Mr. Cuomo, in response, said he bore no responsibility for the delay.

"The facts as reported are the leaders said they don't want to pass marijuana in the budget," he said in a statement, referring to the legislative leaders.

"Now it appears that they still don't have the votes," he said, "because if the Senate is asking me to force their members to vote, it means they can't control their own senators."

Ms. Peoples-Stokes and Ms. Krueger have acknowledged the resistance to their original bill, from both the governor and some legislative colleagues. A particular disagreement involved their proposal to set aside fixed percentages of marijuana tax revenue for communities most harmed by the war on drugs; Mr. Cuomo's office had suggested looser language.

In response, the lawmakers plan to introduce a revised bill that would preserve benchmarks for reinvestment in minority communities while granting the governor more control over the nature of those reinvestments.

“It’s intended to win the support of the governor as well as colleagues who are still a little concerned,” said Ms. Peoples-Stokes, a Democrat from Buffalo who is the second-highest-ranking member of the Assembly.

Still, even with the revised proposal, Ms. Krueger said the question of who would control and receive marijuana revenue would remain central — and divisive.

“Day 1, when we started to draft this bill, I told everyone the ultimate fight would be over the money and who gets it,” she said. “And the last day that we come to closure and sign a bill, I will tell people the fight was over where the money went.”

Spokesmen for both Senator Andrea Stewart-Cousins, the Senate majority leader, and Carl E. Heastie, the Assembly speaker, said that their conferences would discuss the new bill but did not specify if or when it might come to the floor.

In New Jersey, hopes for legalization this year seemed even further out of reach. On Thursday, both Mr. Murphy and Craig Coughlin, the Assembly speaker, conceded that they might need to resort to putting legalization on the ballot.

“The referendum has always been out there as an option,” Mr. Murphy said at a news conference in Trenton. “Only one state has done this legislatively and that's Vermont. We have felt that this is a better way to go. It takes more courage, it’s a tough vote for many, and we understand that.”

He added, however, that he planned to sit down later that day with Mr. Coughlin and Stephen M. Sweeney, the senate president, to discuss the future of marijuana legalization.

Less than an hour later, Mr. Sweeney skipped the meeting.

Jesse McKinley contributed reporting from Albany

Nick Corasaniti is a New Jersey-based correspondent, covering the politics, policy, people, trains, beaches and eccentricities that give the Garden State its charm. A New Jersey native, he previously covered presidential campaigns for The Times. @NYTnickc • Facebook

Vivian Wang is a reporter for the Metro Desk, covering New York State politics in Albany. She was raised in Chicago and graduated from Yale University. @vwang3

A version of this article appears in print on May 14, 2019, on Page A21 of the New York edition with the headline: How Pot Bills Wilted in New Jersey and New York

READ 140 COMMENTS